

No matter how we arrive at the latest financial conclusion, we always seem to be preparing ourselves for the *last* thing that's happened, as opposed to what's going to happen next. This "penultimate preparedness" is our way of making up for the fact that we didn't see the last thing coming along in the first place.

The day after the market crashed on October 19, people began to worry that the market was *going* to crash. It had already crashed and we'd survived it (in spite of our not having predicted it), and now we were petrified there'd be a replay. Those who got out of the market to ensure that they wouldn't be fooled the next time as they had been the last time were fooled again as the market went up.

The great joke is that the next time is never like the last time, and yet we can't help readying ourselves for it anyway. This all reminds me of the Mayan conception of the universe.

In Mayan mythology the universe was destroyed four times, and every time the Mayans learned a sad lesson and vowed to be better protected—but it was always for the previous menace. First there was a flood, and the survivors remembered it and moved to higher ground into the woods, built dikes and retaining walls, and put their houses in the trees. Their efforts went for naught because the next time around the world was destroyed by fire.

After that, the survivors of the fire came down out of the trees and ran as far away from woods as possible. They built new houses out of stone, particularly along a craggy fissure. Soon enough, the world was destroyed by an earthquake. I don't remember the fourth bad thing that happened—maybe a recession—but whatever it was, the Mayans were going to miss it. They were too busy building shelters for the next earthquake.

Two thousand years later we're still looking backward for signs of the upcoming menace, but that's only if we can decide what the upcoming menace is. Not long ago, people were worried that oil prices would drop to \$5 a barrel and we'd have a depression. Two years before that, those same people were worried that oil prices would rise to \$100 a barrel and we'd have a depression. Once they were scared that the money supply was growing too fast. Now they're scared that it's growing too slow. The last time we prepared for inflation we got a recession, and then at the end of the recession we prepared for more recession and we got inflation.

Someday there will be another recession, which will be very bad for the stock market, as opposed to the inflation that is also very bad for the stock market. Maybe there will already have been a recession between now and the time this is published. Maybe we won't get one until 1990, or 1994. You're asking me?